

HIT RATIO

Hit ratio is the number of correct or profitable trades that we enter out of the total number of attempts in a fixed time frame. Let us say, based on a strategy, we entered 34 trades in the last 12 months, and of these, we made a profit 14 times and a loss 20 times. So the hit ratio is 41% ($14/34 \times 100$).

Now is this good or bad? It may look bad, but this is when our system-based thinking comes into the picture. We will combine the average profits of profitable trades with average losses of loss-making trades. This will tell us if our system is profitable or not.



PROFIT WHEN RIGHT

The next element that we need to examine is the average profit we have made out of the trades that we have entered. This indicates the average profit we have made. Let us assume, 14 profitable trades were made out of 34. The amount has to be calculated after deducting for brokerage and trading costs. Let us say, we made an average of Rs. 15,000 per profitable trade in the past 12 months.

LOSSES WHEN WRONG

In this case, the system has incurred 20 loss-making trades. Let us say, on average they lost Rs. 2,000 per trade. In this case, it is an excellent system because the system makes Rs. 15,000 when profitable and loses Rs. 2,000 when wrong. It is right $14/34 = 41\%$ of the time. This looks like an excellent system.

However, if the average loss was also Rs. 15,000 too, we could say that this is a horrible system because, over a longer period, the system will lose money. So, combining the hit ratio with the amount we make and lose in case of profitable and loss-making trades, will create a system that is backed by data. We will learn more about these going ahead in much greater detail.